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RATES SPARK

Rates Spark: Too early for the doves

Oil is back near pre-war levels, but there are reasons to believe the market is too optimistic over the speed and sustainability of the supply recovery. Rates' oil sensitivity has become more muted, but uncertainty argues against a dovish turn from the ECB, keeping a hawkish bias for now and flooring expectations at "one more hike"



Oil is back near pre-war levels, but upside risks linger. Enough reason for the ECB to keep a hawkish bias and floor hike expectations at "one more" for now

Oil is stabilising around pre-war levels, but [we continue to see upside risks](#) in the near term that could pose some upward pressure on rates. The recent fall in oil prices can partly be attributed to the current imbalance between supply and demand. Physical buyers are still awaiting better pricing while countries' strategic reserves continue to add supply to the market. This is not a stable equilibrium, however. At some point, buyers will need to enter the market, and reserves will have to be replenished.

At the same time, we have to acknowledge that the sensitivity of rates to oil will likely be more muted going forward. The tail risks of oil jumping above \$100 have diminished significantly, mitigating second-round inflation risks. Also, recent economic sentiment indicators from the eurozone suggested that expectations for [selling prices already fell fast in June](#).

However, we don't expect a strong dovish turn from central banks either. Some ECB officials, such as Mārtiņš Kazāks, may voice more openly that there is now more room for a

wait-and-see stance, effectively diminishing the odds of a hike in July. But we don't think that the narrative of at least one more hike will be abandoned, if only to keep it for risk management purposes.

ECB President Christine Lagarde, opening the Sintra central banking forum, suggested as much by noting the durability of the deal in the Middle East was "far from assured." As she also pointed out, ECB policy already begins to take effect ahead of any decision, which "buys us time to assess how a shock is developing before we commit to a course of action." Seen through this lens and amid still-high uncertainty, keeping a somewhat hawkish bias makes sense. Only later this year will we have a better understanding of the second-round inflation impact and more certainty about the trajectory of oil.

Tuesday's events and market view

The calendar is turning busier. In the Eurozone and in the lead-up to Wednesday's flash CPI for the bloc, markets will watch French, German and Italian preliminary June CPIs after Spain's release on Monday. Key will be the lineup of ECB speakers, which may help clarify the central bank's reaction function as geopolitics seemingly exerts less influence on energy markets. Among others, we will hear again from Isabel Schnabel and from Chief Economist Philip Lane.

The US will release the JOLTS job opening numbers for May, and we will also get the Conference Board's measure of consumer confidence for June, where markets are looking for a slight improvement.

No government bond supply today.

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